

The rate increase will affect the projected financial experience of the product by:

We believe the requested rate increase is necessary to adequately support these products as well as for meeting the federal Minimum Loss Ratio (MLR) requirement.

Components of Increase

The request is made up of the following components:

Trend Increases – 89 % of the 7.93 % total filed increase

1. Medical Utilization Changes – Defined as the increase in total plan claim costs not attributable to changes in the unit cost of underlying services, or renegotiation of provider contracts. Examples include changes in the mix of services utilized, or an increase/decrease in the frequency of service utilization.

This component is 28 % of the 7.93 % total filed increase.

2. Medical Price Changes – Defined as the increase in total plan claim costs attributable to changes in the unit cost of underlying services, or renegotiation of provider contracts.

This component is 61 % of the 7.93 % total filed increase.

Other Increases – 11 % of the 7.93 % total filed increase

1. Medical Benefit Changes Required by Law – Defined as any new mandated plan benefit changes, as mandated by either State or Federal Regulation.

This component is 0 % of the 7.93 % total filed increase.

2. Medical Benefit Changes Not Required by Law – Defined as changes in plan benefit design made by the company, which are not required by either State or Federal Regulation.

This component is -2 % of the 7.93 % total filed increase.

3. Changes to Administration Costs – Defined as increases in the costs of providing insurance coverage. Examples include claims payment expenses, distribution costs, taxes, and general business expenses such as rent, salaries, and overhead.

This component is -35 % of the 7.93 % total filed increase.

4. Changes to Profit Margin – Defined as increases to company surplus or changes as an additional margin to cover the risk of the company.

This component is 9 % of the 7.93 % total filed increase.

5. Other – Defined as:

Impact of changes in demographic makeup and adjustment for HA rates to be 5% less than BC.

This component is 39 % of the 7.93 % total filed increase.